should make it easier for banks to collect, but those legislative reforms are before Parliament. Knowing that banks would find it hard to collect, some promoters encouraged them to 'double-up' by expanding the scale of the project, even though the initial scale was unable to service debt. Of course, the unscrupulous among the promoters continued to divert money from the expanded lending, increasing the size of the problem on bank balance sheets.

The inefficient loan recovery system then gives promoters tremendous power over lenders. Not only can they play one lender off against another by threatening to divert payments to the favoured bank, they can also refuse to pay unless the lender brings in more money, especially if the lender fears the loan becoming a Non-Performing Asset. Sometimes promoters can offer miserly one-time settlements (OTS) knowing that the system will ensure the banks have little ability to collect even secured loans, and that too after years. Effectively, loans in such a system become implicit equity, with a tough promoter enjoying the upside in good times, and forcing banks to absorb losses in bad times, even while he holds on to his equity.

CLEANING UP THE BANKS: PRINCIPLES

The world over, there are three cardinal rules when faced with incipient distress.

1) Viability does not depend on the debt outstanding, but on economic value. Debt may have to be written down to correspond to what is viable.

Because of changed circumstances, demand may be lower and project cash flows may be significantly lower than projected earlier. The project has economic value when completed – in the sense that operating cash flows are positive, but much less than the interest on the debt it carries. If the debt is not written down, the project continues as an NPA, even while the promoter, knowing it cannot